ANSWER KEY & MARKING SCHEME SET 1

Chapter 19: **Money and Credit (Economics)** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(a)** land	Property that the borrower owns
2	**(c)** demand deposits	They are also treated as money
3	**(c)** helps people to start or expand productive activities and earn more	Credit helps production
4	**(c)** they charge a higher interest rate on loans than they pay on deposits	The difference is their main income
5	**(a)** banks	Banks and cooperatives
6	**(a)** currency and deposits with banks	Paper notes and coins, and bank deposits
7	**(a)** formal sources require collateral and documents that the poor may not have	They find formal credit hard to get
8	**(d)** No individual can legally refuse a payment made in rupees	The law makes it a means of payment that cannot be refused
9	**(b)** interest rate, collateral, documentation requirements and mode of repayment	These vary from one loan to another
10	**(d)** payments can be made by cheque instead of cash	The cheque facility makes them a medium of exchange

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	A situation where the borrower cannot repay and falls deeper into debt (1); Often seen when crops fail or incomes fall (1).	1+1
12	An asset the borrower owns and uses as a guarantee for a loan (1); The lender can sell it if the loan is not repaid (1).	1+1
13	Interest rate and collateral (1); Documentation requirements or mode of repayment (any one) (1).	1+1
14	A paper instruction to a bank to pay a specific amount from one's account to the person named (1); It allows payment without cash (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	A person needs not look for someone who wants her goods and has what she wants (1); Money acts as a medium of exchange (1); Goods can be sold for money and then money used to buy other goods (1).	1+1+1
16	Very high interest rates (1); No supervision and no protection (1); May fall into a debt trap and lose assets (1).	1+1+1
17	RBI issues currency notes on behalf of the central government (1); Only RBI can issue currency (1); The rupee is accepted for settling transactions throughout India (1).	1+1+1
	OR: Only a small number of depositors withdraw on any day (1); Cash needs for daily withdrawals are small (1); The rest can be used to give loans (1).	1+1+1
18	Banks need collateral and documents (1); Banks may not have branches nearby (1); Informal lenders give loans quickly with few conditions (1).	1+1+1
	OR: They can be withdrawn on demand (1); Payment can be made by cheque instead of cash (1); So they function as a medium of exchange (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Beneficial: a loan to a farmer or businessman enables higher production and income (1); Repayment is easy and income increases (1); Harmful: failure of crop or business causes loss (1); Loan cannot be repaid and interest grows (1); Borrower may lose land and fall into debt trap (1).	1+1+1+1+1
	OR: A group of 15 to 20 members, mostly women (1); Members save regularly (1); Group gives loans from the savings (1); Interest is reasonable and no collateral (1); Meetings help discuss social issues (1).	1+1+1+1+1

20	Barter requires a double coincidence of wants (1); A person has to find someone who wants her goods and has what she wants (1); Money is a medium of exchange (1); It can be used to buy anything (1); The modern forms are currency and bank deposits (1).	1+1+1+1+1
	OR: Issues currency notes on behalf of the central government (1); Supervises the functioning of formal sources of credit (1); Monitors if banks maintain cash balance (1); Checks that loans reach small borrowers (1); Helps in the safety of deposits (1).	1+1+1+1+1

Mistakes to avoid:

- Saying that the **Government of India** or any bank can issue currency notes; in India only the **Reserve Bank of India** issues them on behalf of the central government.
- Thinking that a cheque is money; a cheque is only a **paper instruction** to the bank, and the **demand deposit** is the money.
- Confusing **collateral** (borrower's asset kept as security) with **interest** (price paid for the loan) and forgetting that **terms of credit** include interest, collateral, documentation and repayment mode.
- Placing **cooperatives** among informal lenders; formal = banks and cooperatives; informal = moneylenders, traders, employers, relatives and friends.
- Writing that banks lend at the same rate they pay on deposits; they charge a **higher** rate on loans, and the difference is their main source of income.
- Believing credit always helps: it helps Salim, but pushes Swapna into a **debt trap** when her crop fails; the outcome depends on the risk and on support in case of loss.

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

MASTERMIND

ANSWER KEY & MARKING SCHEME SET 2

Chapter 19: **Money and Credit (Economics)** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(c)** the Reserve Bank of India	RBI monitors that banks maintain cash balance and lend to all types of borrowers
2	**(c)** a debt trap	High risk with credit
3	**(d)** providing loans to the poor, mainly women, without collateral	A major success story in reaching the poor
4	**(a)** Reserve Bank of India	It does so on behalf of the central government
5	**(d)** it is safe and earns interest	Banks also allow withdrawal on demand
6	**(d)** a medium of exchange	Goods can be bought and sold with it
7	**(c)** sell the collateral to recover the payment	This is why collateral is demanded
8	**(c)** what one person wishes to sell is exactly what another wishes to buy, and vice versa	It makes barter difficult
9	**(b)** providing loans from the group's savings at reasonable interest without collateral	Loans are given for small needs
10	**(b)** credit	Credit is a loan

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Currency (paper notes and coins) (1); Deposits with banks (1).	1+1
12	Formal: banks or cooperatives (1); Informal: moneylenders, traders or relatives (1).	1+1
13	What one party wants to sell is exactly what another wants to buy (1); It is necessary for exchange in a barter system (1).	1+1
14	A small group of 15 to 20 members, mostly women, who pool savings (1); They give loans to members at reasonable interest (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	It is authorised by the government of the country (1); Law prohibits anyone else from issuing currency (1); No one can legally refuse payment in rupees (1).	1+1+1
16	They keep a small part as cash for withdrawals (1); They use most of the deposits to give loans (1); They charge a higher interest on loans than they pay on deposits (1).	1+1+1
17	It helps people start businesses and earn more (1); Reduces dependence on moneylenders (1); Supports development (1).	1+1+1
	OR: 15 to 20 members, mostly women, form a group (1); They save regularly and pool the savings (1); Loans are given from this pool at reasonable interest (1).	1+1+1
18	When the loan is not repaid because the income falls (1); Interest keeps piling up (1); The borrower may have to sell assets to repay (1).	1+1+1
	OR: An asset such as land, building or livestock owned by the borrower (1); It is a guarantee until the loan is repaid (1); If the borrower defaults, the lender can sell it (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	People deposit money for safety and interest (1); Banks keep a small proportion as cash to meet daily withdrawals (1); Most of the deposits are used for loans (1); Banks charge higher interest on loans than they pay on deposits (1); Difference is their income (1).	1+1+1+1+1
	OR: Interest rate: the cost of borrowing (1); Collateral: asset kept as guarantee, such as land or livestock (1); Documentation: papers required by lender (1); Mode of repayment: how and when the loan is to be returned (1); These vary with the lender (1).	1+1+1+1+1

20	Formal: banks and cooperatives; informal: moneylenders, traders, employers, relatives (1); Formal are supervised by RBI (1); Informal have no supervision (1); Formal charge lower interest (1); Informal charge higher rates and may trap borrowers (1).	1+1+1+1+1
	OR: They lack the collateral that banks demand (1); Banks ask for documents that the poor may not have (1); Banks may not have branches nearby (1); Informal lenders are easier to approach (1); So the poor end up paying high interest (1).	1+1+1+1+1

Mistakes to avoid:

- Saying that the **Government of India** or any bank can issue currency notes; in India only the **Reserve Bank of India** issues them on behalf of the central government.
- Thinking that a cheque is money; a cheque is only a **paper instruction** to the bank, and the **demand deposit** is the money.
- Confusing **collateral** (borrower's asset kept as security) with **interest** (price paid for the loan) and forgetting that **terms of credit** include interest, collateral, documentation and repayment mode.
- Placing **cooperatives** among informal lenders; formal = banks and cooperatives; informal = moneylenders, traders, employers, relatives and friends.
- Writing that banks lend at the same rate they pay on deposits; they charge a **higher** rate on loans, and the difference is their main source of income.
- Believing credit always helps: it helps Salim, but pushes Swapna into a **debt trap** when her crop fails; the outcome depends on the risk and on support in case of loss.

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

MASTERMIND

ANSWER KEY & MARKING SCHEME SET 3

Chapter 19: **Money and Credit (Economics)** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(d)** a double coincidence of wants	Each party must want what the other has
2	**(d)** it is authorised by the government of the country	No one can refuse payment in rupees in India
3	**(b)** a paper instruction to the bank to pay a specific amount from the person's account to the person whose name is written	It is used for payment without cash
4	**(b)** extend loans	This is how they earn income
5	**(c)** no organisation supervises them and the interest rates are often high	Moneylenders can charge high interest
6	**(d)** 15 to 20 members, mostly women from a neighbourhood	Members save regularly
7	**(d)** lower rates of interest	Cheap and affordable credit is important for development
8	**(c)** only a small part is needed to meet the day-to-day withdrawals	The rest is used for lending
9	**(b)** an asset that the borrower owns and uses as a guarantee until the loan is repaid	Land, buildings, livestock or deposits can serve as collateral
10	**(b)** debt trap	The borrower falls into continuous debt

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	It can be used to buy and sell goods (1); It avoids the need for double coincidence of wants (1).	1+1
12	Deposits in bank accounts that can be withdrawn on demand (1); Payments can be made using cheques (1).	1+1
13	The Reserve Bank of India (1); On behalf of the central government (1).	1+1
14	A loan agreement in which the lender gives money, goods or services (1); The borrower promises payment later (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Poor borrowers get loans without collateral (1); The interest charged is reasonable (1); Group meetings help members to discuss social issues and to repay on time (1).	1+1+1
16	Formal: banks and cooperatives; informal: moneylenders, traders and relatives (1); Formal: supervised by RBI; informal: no supervision (1); Formal: lower interest; informal: often very high interest (1).	1+1+1
17	It gives loans to the poor, mainly women (1); The loans are given without collateral (1); The repayment of loans is very high (1).	1+1+1
	OR: Banks must maintain cash balances (1); They must give loans not only to profit-making businesses but also to small cultivators and small borrowers (1); This protects depositors and borrowers (1).	1+1+1
18	Credit can help production by providing working capital (1); A farmer may buy seeds and fertilisers with a loan (1); Income from the harvest repays the loan and leaves a profit (1).	1+1+1
	OR: The rate of interest charged on the loan (1); The collateral and documents required (1); The mode of repayment of the loan (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Formal credit is cheaper (1); Poor often depend on moneylenders at high interest (1); Debt traps hurt borrowers (1); Formal credit helps the poor invest and earn more (1); RBI supervises it (1).	1+1+1+1+1
	OR: Helps people to engage in productive activities (1); Reduces dependence on moneylenders (1); Expands incomes and employment (1); Supports small cultivators and industries (1); Needs more formal sources like banks and SHGs (1).	1+1+1+1+1

20	Currency: paper notes and coins (1); Currency notes are issued by the RBI on behalf of the central government (1); Law makes the rupee accepted as payment (1); Deposits with banks are demand deposits (1); Cheques allow payments from deposits (1).	1+1+1+1+1
	OR: Credit helps in starting or expanding production (1); Higher income if the venture succeeds (1); If income falls, repayment becomes hard (1); Interest accumulates (1); May result in a debt trap (1).	1+1+1+1+1

Mistakes to avoid:

- Saying that the **Government of India** or any bank can issue currency notes; in India only the **Reserve Bank of India** issues them on behalf of the central government.
- Thinking that a cheque is money; a cheque is only a **paper instruction** to the bank, and the **demand deposit** is the money.
- Confusing **collateral** (borrower's asset kept as security) with **interest** (price paid for the loan) and forgetting that **terms of credit** include interest, collateral, documentation and repayment mode.
- Placing **cooperatives** among informal lenders; formal = banks and cooperatives; informal = moneylenders, traders, employers, relatives and friends.
- Writing that banks lend at the same rate they pay on deposits; they charge a **higher** rate on loans, and the difference is their main source of income.
- Believing credit always helps: it helps Salim, but pushes Swapna into a **debt trap** when her crop fails; the outcome depends on the risk and on support in case of loss.

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

MASTERMIND